

FREE GUIDE · UPDATED JUNE 2026

The California Condo Buyer's Pre-Offer Checklist

*What to look for before you write an offer, so the
financing doesn't fall apart after you're in contract.*

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What's Inside

1	A note before you start	3
2	The three words that decide whether you can buy	4
3	Why the 2026 rule changes matter for your purchase	6
4	The pre-offer checklist	9
5	How to read a reserve study	15
6	SB 326: the California-specific layer	17
7	The nine red flags that kill condo deals	19
8	FHA and VA condo lists explained	22
9	When the building does not qualify	24
10	How to request a free project status check	26
11	About Daryn & how to reach me	27

SECTION 1

A note before you start

Most condo deals that fall apart at the project level were preventable. The buyer just didn't know what to look at before writing the offer.

A NOTE FROM DARYN

If you've picked up this guide, you're probably about to make an offer on a condo, or you're an agent representing a buyer who is. Either way, here's the part nobody tells you: when you buy a condo, the lender doesn't just evaluate you and the unit. They evaluate the entire building. All three have to pass.

I run California condo deals all the time. I've watched buyers fall in love with a unit, write an offer, get into contract, and then find out in week three of escrow that the building has a pending lawsuit or a reserve fund at 18 percent and the financing they were counting on isn't available. That's a preventable outcome. So I wrote this guide.

It's not a sales pitch. There are a few places where I tell you to call me, because I genuinely think this is the kind of thing you're better off running past a lender before you commit. But there's also a complete pre-offer checklist, the 2026 rule changes explained in plain language, a section on how to read a reserve study, and a real conversation about what to do when a building turns out to be non-warrantable. Read whatever's useful.

— Daryn



California coastal condos. The unit is yours; the building is everyone's, and your lender reviews both.

This guide is current as of June 2026. The Fannie Mae and Freddie Mac rule changes we cover were issued on March 18, 2026, and most provisions become mandatory on August 3, 2026. The reserve funding rule takes effect on January 4, 2027. We'll come back to those dates throughout the guide.

What's in scope: practical mortgage and project-financing information for people buying condos in California, and the agents representing them. What's out of scope: legal advice on Davis-Stirling matters, HOA governance, or contract interpretation. For those, see a real estate attorney.

How to use this guide: Work through the pre-offer checklist in Section 4 before you write an offer on any California condo. If you find items you can't verify, call me. A free project status check takes less than 24 hours and tells you whether a building will support conventional, FHA, or VA financing before you commit.

SECTION 2

The three words that decide whether you can buy

Define the vocabulary before using it. The rest of the guide assumes these three.

Warrantable

A condo is “warrantable” when the building (not just the unit) meets the requirements that let lenders sell the loan to Fannie Mae or Freddie Mac. That backing is what makes 30-year fixed mortgages, conforming loan amounts, and competitive interest rates possible. When a project is warrantable, your financing options are at their widest: conventional with as little as 3 to 5 percent down, and FHA or VA where the project is also on those lists.

Non-warrantable

The building fails one or more of the requirements. Conventional financing through Fannie or Freddie won't work, and often FHA and VA won't either. You need a different kind of loan, called a non-warrantable condo loan, which is offered by portfolio lenders who hold the loan themselves rather than selling it to the GSEs.

Non-warrantable loans are real loans, not workarounds. We close them all the time. The down payment is higher than conventional's 3 to 5 percent minimum, usually 20 to 25 percent, but well within reach for many condo buyers. Section 9 is dedicated to what to do when the building you want is non-warrantable.

Project

When a lender approves a condo loan, they actually approve two things: you (your finances) and the project (the whole building or HOA). A buyer with perfect credit and 20 percent down can still be turned down because the project fails. This is the single most overlooked part of condo financing, and the cause of most late-escrow deal failures.

Throughout this guide, when we use the word “project,” we mean the building, the HOA, the common areas, the financials, the insurance, and everything that's shared. The unit is yours. The project is everyone's.

Supporting vocabulary you'll see in this guide

Project review: The lender's process of evaluating the HOA to determine warrantability. Typically takes anywhere from one to three weeks.

HOA questionnaire: The standardized form (Fannie Form 1076 or its equivalent) that your lender sends to the HOA management company. It asks about insurance, reserves, litigation, owner occupancy, special assessments, and more. The HOA fills it out and returns it.

Limited Review: A streamlined project review pathway that lenders have used for years on established projects with strong fundamentals. Going away on August 3, 2026.

Full Review: The detailed project review process that all loans will require after August 3, 2026, unless the project qualifies for a Waiver.

Reserve study: A formal analysis of the HOA's major components and how much money is being set aside to replace them. The single most useful financial document you can read about a building. Section 5 covers how to read one.

SECTION 3

Why the 2026 rule changes matter for your purchase

The biggest overhaul of condo project standards in years. Issued March 18, 2026. Most provisions mandatory August 3, 2026.

On March 18, 2026, Fannie Mae issued Lender Letter LL-2026-03 and Freddie Mac issued a matching bulletin. Together they represent the most significant changes to condo project eligibility in years. If you're buying a condo in California in mid-2026 or later, the building you're trying to finance is being evaluated under these new rules. Here is the timeline of what changes when.

2026 CONDO FINANCING TIMELINE

When each rule change takes effect, and what it means for buyers



ALREADY IN EFFECT

Critical-repairs rule: buildings with unaddressed safety or structural issues are ineligible for financing.



NEW RESERVE RULE (JAN 4, 2027):

HOA reserves must equal at least 15% of total annual assessments. Underfunded buildings may lose eligibility.

Limited Review is going away (August 3, 2026)

For years, established projects with strong fundamentals could be approved through a streamlined “Limited Review” that skipped much of the detailed project scrutiny. As of August 3, 2026, that pathway is gone for most transactions. Nearly every condo loan will require a Full Review, which means the lender will dig into the HOA’s financials, reserves, insurance, litigation status, and owner-occupancy in detail. Buildings that comfortably closed deals under Limited Review may struggle under Full Review.

The 15% reserve rule (January 4, 2027)

Starting January 4, 2027, Fannie Mae requires that an HOA’s budget allocate at least 10 percent to reserves, and the broader guidance points toward reserves equal to at least 15 percent of annual assessments to avoid eligibility problems. A building that has historically run lean on reserves, common in older Los Angeles condo projects, may find itself non-warrantable until it raises dues or funds a reserve study. As a buyer, this matters because a building that’s warrantable today might not be by the time you’d want to refinance or resell.

The critical-repairs rule (already in effect)

This one is already being enforced. A building with significant deferred maintenance or unaddressed safety issues, think structural problems, failing balconies, or major systems past their service life, is ineligible for conventional financing until the issues are addressed or a funded plan is in place. Post-Surfside, lenders are far more conservative here than they were five years ago.

Practical advice: If you're buying before August 2026, ask your lender to run the project through both the current and the new rules now. A building that's on the edge under today's rules may lose eligibility once the deadlines pass. Knowing this before you write an offer is the difference between a clean transaction and an expensive surprise.

The new small-project Waiver (good news for some)

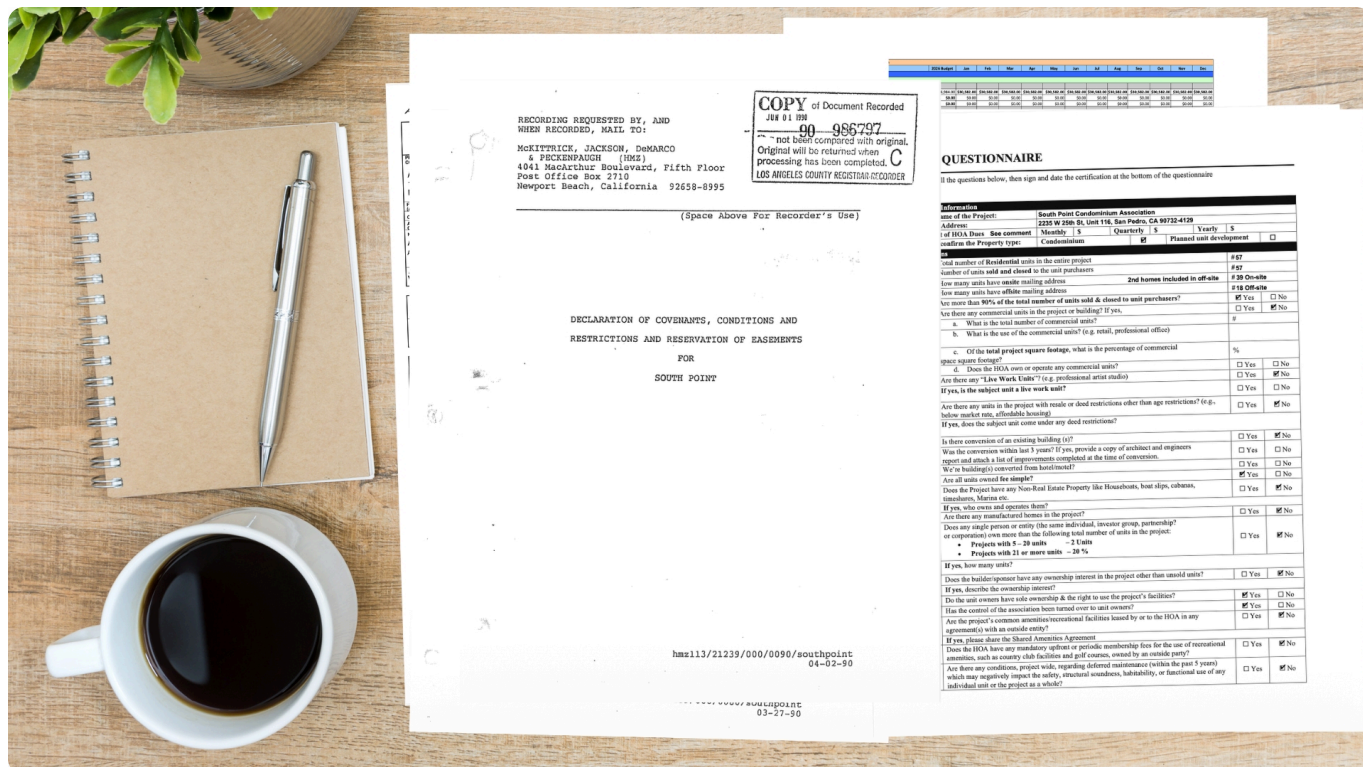
Not all of the 2026 news is restrictive. A new Waiver pathway available in 2026 lets very small projects (10 units or fewer) close a loan without a full project review in some cases. If the condo you want is in a small building, ask your lender whether the Waiver applies. It can simplify an otherwise difficult approval.

SECTION 4

The pre-offer checklist

Fifteen items in three categories: documents to request, questions to ask, and conditions to confirm before you write an offer.

The single highest-leverage thing you can do before making an offer on a condo is the work in this section. Most of it takes a few phone calls and a few hours of reading. The payoff is that your deal doesn't die in week three of escrow because your lender found something you could have known about up front.



The HOA documents in this section are where condo deals are saved or lost.

A. Documents to request (six items)

1 HOA financial statements (current year + prior year)

Look for a healthy operating reserve, no pattern of deferred contributions, and expenses that track with the budget. A consistent gap between budget and actual spending is a warning sign.

2 Reserve study (most recent, ideally within 2 years)

Tells you whether the HOA is setting aside enough to fund future repairs without a special assessment. Percent funded below 50% is a concern; below 30% is serious. Section 5 covers how to read it.

3 HOA meeting minutes (last 12 to 24 months)

Minutes reveal what the board is actually discussing. Deferred maintenance, owner complaints, contractor disputes, and litigation talk all show up here before anywhere else.

4 Master insurance policy

Confirm adequate coverage, including a fidelity bond for HOA funds. Check whether the policy is “bare walls in” or “all-in” so you know what your individual HO-6 policy needs to cover.

5 CC&Rs and bylaws

The governing documents. Check rental caps, pet rules, leasing restrictions, and any owner-occupancy requirements. These affect both your financing and how you’ll be able to use the unit.

6 SB 326 inspection report (where balconies exist)

If the building has elevated wood-framed balconies or decks, ask for the most recent EEE inspection report. Section 6 explains what to look for.

B. Questions to ask the HOA (five items)

7 Is there any pending or active litigation involving the HOA?

Active litigation involving the HOA as a party disqualifies most projects for conventional, FHA, and VA financing. Ask directly and get it in writing.

8 Are any special assessments planned or under discussion?

A past assessment isn’t automatically a problem. An upcoming one is. Ask what’s planned, the amount, and what it funds.

9 What is the current owner-occupancy ratio?

Fannie Mae generally wants at least 50% owner-occupied for standard eligibility. Above 35% investor concentration is a flag. Ask for the current ratio.

10 What percentage of owners are behind on dues?

Fannie Mae allows no more than 15% of units to be 60+ days delinquent. A high delinquency rate signals a strained operating budget and broader owner distress.

11 Does the building allow short-term rentals, and is the policy enforced?

Projects that permit or tolerate Airbnb-style rentals at scale are treated as hotel-type operations by Fannie Mae and are ineligible for conventional financing.

C. Conditions to confirm (four items)

12 No single entity owns more than 10% of units

In projects of 21+ units, single-entity ownership above 10% breaks warrantability. Common in newer developments where the developer still holds inventory.

13 Commercial space is within limits

If the building is mixed-use, excessive commercial square footage (generally above 35%) can make the project non-warrantable. Ask what share of the building is commercial.

14 Reserves meet the new threshold

With the January 2027 rule approaching, confirm reserves are at or near 15% of annual assessments. A lean reserve today can become a financing problem tomorrow.

15 Run a lender project status check before you write the offer

This is the one that catches what the other fourteen might miss. It's free, takes under 24 hours, and can save you significant cost and heartburn. Details in Section 10.

How to read a reserve study

The single most important financial document about a condo building. Most buyers skip it because it looks complicated. It isn't.

What a reserve study is

A reserve study is a formal analysis, usually prepared by an independent firm, that lists the major common-area components of a building, estimates their useful life and replacement cost, and calculates how much the HOA needs to set aside each month to fund those replacements without a special assessment. California law requires most HOAs to conduct reserve studies and update them periodically. The most recent study should be available during your purchase.

The number that matters most: percent funded

Percent funded tells you what share of the ideal reserve balance the HOA actually has on hand. If the study says the building needs \$1,000,000 in reserves and the HOA has \$500,000 in the bank, it's 50% funded. As a rule of thumb: 70% or above is well-funded and low risk; 50 to 70% is adequate with some catch-up needed; 30 to 50% is underfunded with elevated special-assessment risk; and below 30% is significantly underfunded, meaning the HOA is likely relying on future assessments to function.

The 30-year projection

Most reserve studies include a 30-year funding plan showing projected balances under different contribution scenarios. Look at the low-funding scenario. If the projection shows the reserve balance dropping to zero or going negative at any point, that's a meaningful warning. A reserve fund that hits zero has one option: a special assessment to the owners, and if you've just bought in, that means you.

Component condition versus funding status

Even a well-funded study deserves a careful read if major components are in poor condition or overdue for replacement. Pay attention to roofing, elevators, plumbing, electrical, and parking structures: the expensive ones. If a major component has less than five years of remaining useful life, ask whether the HOA has a plan and whether that plan is funded.

What to ask: When was the reserve study last updated? Is the HOA on the recommended funding plan, or contributing less than recommended? If less, why? Two minutes of questions can tell you a great deal about how the board runs the building.

SECTION 6

SB 326: the California-specific layer

California's balcony inspection law adds a layer that buyers in other states never deal with. If your condo has balconies, this affects you.

Senate Bill 326 requires HOAs of buildings with three or more units to have a licensed structural engineer or architect inspect all elevated wood-framed exterior elements, primarily balconies, decks, stairways, and walkways. The first inspections were due by January 1, 2025, and must be repeated every nine years.

Who does SB 326 apply to?

Condo associations with buildings that have elevated exterior elements supported by wood framing. If the building is all concrete and steel, SB 326 may not apply. If it has wood-framed balconies, which is most older Southern California condo stock, it does.

What does a compliant inspection look like?

A licensed professional inspects a statistically significant sample of the elevated elements, documents their condition, and files a report with the HOA. If deficiencies that threaten safety are found, the HOA must take corrective action on a timeline set by the severity of the findings.

What about the AB 2579 extension?

AB 2579 adjusted some of the inspection deadlines. The practical takeaway for buyers is unchanged: ask whether the inspection has been done, ask for the report, and confirm whether any repairs were required and whether they've been completed or funded.

What if the HOA hasn't done the inspection yet?

If the deadline has passed and the inspection hasn't happened, that's a compliance gap and a financing risk. Lenders are paying closer attention to SB 326 status in 2026, and a building carrying unknown structural risk can stall or kill a loan.

Watch for this: “The inspection was done” doesn’t tell you whether deficiencies were found or addressed. Ask for the actual report, not a one-line summary from the listing agent.



Wood-framed balconies are exactly what SB 326 inspections target.

SECTION 7

The nine red flags that kill condo deals

The patterns that turn a great-looking unit into a deal that won’t close, or a closing that comes with surprises. Some are automatic disqualifiers; all are worth understanding before you commit.

1. Active litigation

Any active lawsuit involving the HOA as a party disqualifies most projects for conventional, FHA, and VA financing. Construction-defect suits, slip-and-fall claims against the HOA, and vendor disputes all count. Neighbor-versus-neighbor disputes generally don’t. Ask directly.

2. Pending special assessment

An assessment that hasn't been formally levied may not appear in standard disclosures. Meeting minutes and a direct question often surface it. Know the amount and what it funds before you write the offer; you may be able to negotiate who pays it.

3. Investor concentration

When more than 35% of units are non-owner-occupied, the project falls outside Fannie Mae standard eligibility. Above 50% renters is typically a full disqualifier for conventional financing.

4. Single-entity ownership

In projects of 21+ units, no single entity can own more than 10% of units and stay warrantable. Most common in newer developments where the developer still holds unsold inventory.

5. Excessive commercial space

In mixed-use buildings, commercial square footage above roughly 35% can make the project non-warrantable. Ground-floor retail is fine in moderation; a building that's mostly commercial is a problem.

6. Hotel or transient operations

Widespread short-term rentals make Fannie Mae treat the building as a hotel-type operation, which is ineligible. Even a handful of units on Airbnb at scale can affect the whole building.

7. Inadequate reserves

A reserve fund below 30% funded means special-assessment risk is high, and with the January 2027 rule, a building below the 15%-of-assessments threshold may lose eligibility outright.

8. Unaddressed critical repairs

Identified structural or safety deficiencies with no funded plan to fix them are a serious risk. Post-Surfside, this is one of the fastest ways for a building to become unfinanceable.

9. SB 326 non-compliance

A building that should have completed its balcony inspection but hasn't is carrying unquantified risk, and some lenders now treat that as a material issue.

FHA and VA condo lists explained

If you're using FHA or VA financing, the building needs to be on a separate approval list. This is different from conventional warrantability.

Why this matters for your purchase

Conventional warrantability and FHA/VA approval are three separate things. A building can be conventionally warrantable but not FHA approved, or VA approved but not FHA approved. If you're using an FHA or VA loan, conventional warrantability alone doesn't help you; the project has to be on your program's list.

How to look up your project status

FHA maintains a searchable approved-condo database at [hud.gov](https://www.hud.gov). VA maintains its own separate list. Both can be checked by address or project name, and your lender can run them for you. Approvals expire, FHA certification lasts three years, so always check current status, not whether the building was approved at some point in the past.

How to get a project approved if it isn't

If the building isn't on your list, you have options. FHA offers a single-unit approval pathway for qualifying buyers in otherwise-unapproved projects. VA has its own submission process. Either route takes time and HOA cooperation, so start early. And if none of the agency programs work, non-warrantable financing (Section 9) is still on the table.

If the building isn't on either list: Don't assume the deal is dead. Ask your lender about FHA single-unit approval, VA endorsement, conventional warrantability as an alternative, or a non-warrantable portfolio loan. There's usually a path.



A clean, well-staged unit still has to clear FHA, VA, or conventional project review before you can finance it.

SECTION 9

When the building does not qualify

A non-warrantable building doesn't mean you can't buy the unit. It means you need a different loan. Those programs exist and close deals every week in California.

Who lends on non-warrantable condos?

Portfolio lenders, who keep the loan on their own books instead of selling it to Fannie or Freddie. Because they hold the risk, they charge for it: higher rates, larger down payments, stronger borrower qualifying. The exact terms depend on why the building is non-warrantable. Investor concentration is a different risk profile than active litigation plus an underfunded reserve, and lenders price those differently.

How we close non-warrantable deals: Condo Solutions

At NEO, I work with non-warrantable condo projects regularly. The program structures around the specific reason a building fails warrantability, rather than treating every non-warrantable

project the same. If you've found a unit you love in a building that doesn't qualify for conventional financing, that's a conversation worth having before you walk away.

The quick facts on non-warrantable financing

Expect a minimum down payment around 20 to 25 percent, an interest rate roughly 0.5 to 1.5 percent above the conventional market, lender-set loan limits that are often higher than conforming, and a smaller pool of lenders, so you'll want to shop. Refinancing later may stay constrained if the building's status doesn't change, though if the building's issues resolve over time, conventional refinancing can open up.

What this means for your pricing strategy

If the building is non-warrantable, the buyer pool shrinks to people who can put more down and accept a higher rate. That affects what you should offer. Knowing the building's status before you write lets you price the offer realistically rather than over-committing for a building that limits your future resale.

The conversation to have with the listing agent

Ask, before you write, whether the building is known to be warrantable and whether prior buyers have closed conventional loans there recently. If the listing agent doesn't know, that's your cue to run a project status check before committing.

Bottom line: A non-warrantable project narrows your options. It doesn't end the deal. Call me before you walk away; the terms are different, but the transaction is usually possible.

SECTION 10

How to request a free project status check

The fastest way to know exactly where a building stands before you write an offer.

I run a free project status check for buyers before they make an offer. Send me the building's address and the HOA name, and within one business day you'll get a read on the current status across Fannie Mae, Freddie Mac, FHA, and VA, plus my assessment of anything that looks like a flag.

What I check

- ▶ **Fannie Mae and Freddie Mac project eligibility** — including known flags and current warrantability under the updated 2026 guidelines.
- ▶ **FHA and VA approval lists** — whether the project is currently approved, when approval expires, and any past approval issues.
- ▶ **Public litigation records** — any active or recent lawsuits involving the HOA that are a matter of public record.
- ▶ **HOA questionnaire review (where available)** — if a recent questionnaire exists, I'll review it to flag anything material before the full lender review begins.

What I need from you

The address of the unit and, if you have them, any HOA documents the listing agent already shared. The more I have, the more specific the read. If no documents are available yet, I can still run the address through the project databases and flag known issues.

Turnaround and cost

An initial read in most cases within 24 hours, at no cost. If the building needs an HOA questionnaire that hasn't been completed, that piece depends on the management company's response time.

REQUEST A PROJECT STATUS CHECK

Email, call, or schedule online. Mention the building address and your target offer date.

EMAIL

myadvisors@neohomeloans.com

PHONE

424-396-6967

SCHEDULE A CALL

darynfillis.com/schedule

About Daryn & how to reach me

Who I am and how to reach me.



I have advised clients on mortgage strategy in Los Angeles since 2015. I'm a Certified Mortgage Advisor and Branch Lead at NEO Home Loans, licensed in California, and bilingual in English and Spanish.

Condo financing is where I spend a disproportionate amount of time, because it's where buyers get surprised most often. The building review, the warrantability analysis, the project questionnaire, the reserve study, the SB 326 status: these aren't things most lenders run before you're in contract. I run them before you write the offer.

NEO Home Loans is powered by Better Mortgage Corporation and operates as a full-service mortgage lender. My focus is a clear strategy and a clean transaction, not just a rate quote.

If this guide was useful, the best next step is a 20-minute call. No pitch, no pressure, just a direct conversation about your situation and what's available to you. Contact details and full disclosures are on the back cover.

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This guide is not legal advice, tax advice, or HOA governance advice. For matters specific to your association, consult with HOA counsel or a real estate attorney. References to California Civil Code Section 5551 (SB 326), Fannie Mae Lender Letter LL-2026-03, Freddie Mac Bulletin 2026-C, and other regulatory or program publications are accurate to the best of our knowledge as of the publication date of this guide; consult original sources for authoritative information.

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